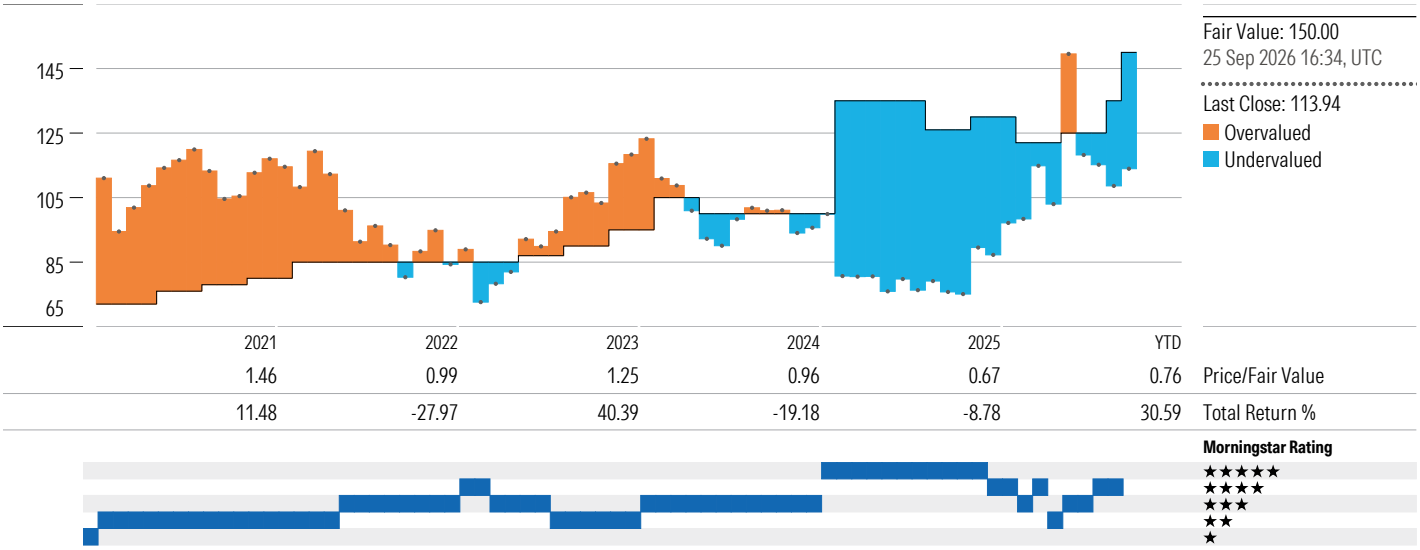
Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.46	0.99	1.25	0.96	0.67	0.76	Price/Fair Value
	11.48	-27.97	40.39	-19.18	-8.78	30.59	Total Return %

Morningstar Rating

Total Return % as of 25 Sep 2026. Last Close as of 25 Sep 2026. Fair Value as of 25 Sep 2026 16:34, UTC.

Contents

Analyst Note (25 Sep 2026)
Business Description
Business Strategy & Outlook (25 Sep 2026)
Bulls Say / Bears Say (25 Sep 2026)
Economic Moat (25 Sep 2026)
Fair Value and Profit Drivers (25 Sep 2026)
Risk and Uncertainty (25 Sep 2026)
Capital Allocation (25 Sep 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

Important Disclosure

The conduct of Morningstar's analysts is governed by Code of Ethics/Code of Conduct Policy, Personal Security Trading Policy (or an equivalent of), and Investment Research Policy. For information regarding conflicts of interest, please visit: https://shareholders.morningstar.com/governance/compliance-disclosures/default.aspx

The primary analyst covering this company does not own its stock.

Akamai: Second Cloud-Computing Deal With Anthropic Shows Intention to Focus on AI

Analyst Note Martin Szumski, Equity Analyst, 25 Sep 2026

Akamai announced a seven-year $11.6 billion cloud computing deal with Anthropic, with an option to grow to $20.6 billion. As part of the deal, Akamai issued Anthropic warrants for about 7.7 million shares, 40% of which are vested, with the remaining 60% vesting if Anthropic adds workloads.

Why it matters: Akamai continues to diversify beyond its core content delivery and security offerings into cloud computing and services. This latest deal represents, at minimum, a quadrupling of the $2.8 billion in commitments the firm has signed.

- Increased artificial intelligence usage is driving demand for all three of Akamai's segments, but none greater than cloud compute. As this Anthropic deal ramps across 2027, 2028, and 2029, we expect average annual compute segment growth of 93%, lifting firmwide growth to 22%.
- When Akamai announced the first Anthropic deal in May, we expected there would be additional deals with frontier model labs, but we worried the firm would offer favorable and even margin-dilutive terms to secure the largest customers. However, this latest deal looks at worst margin-neutral.

The bottom line: After incorporating the revenue, capital, and margin implications of this new deal, we raise our fair value estimate for no-moat Akamai to $150 from $135. While the firm's distributed points of presence are attractive to customers, we believe Anthropic is securing whatever compute it can.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

Sector Technology

Industry Software - Infrastructure

Business Description

Akamai operates a content delivery network, in which customers store content on distributed servers to deliver it to their own customers more quickly. Akamai has over 350,000 servers distributed over 4,350 points of presence in more than 700 cities globally. This network supports upward of 20% of global internet traffic, generating massive amounts of data. Using data generated by the delivery network, the firm offers cybersecurity products and cloud computing services, ranging from API security to zero-trust enterprise access, which has surpassed the delivery network in revenue and importance. As of 2026, the primary focus has shifted to offering computing hardware as a service, with an emphasis on serving large language model providers such as Anthropic.

- We expect this deal to earn roughly 30%-35% gross margins. While lower than the security margin, we expect fewer incremental operating expenses. With future deals done with a wider range of customers with less bargaining power, we expect operating margins to continue to improve.
- To support this deal, Akamai expects to deploy $5.5 billion in CPU capital expenses. The annual recurring revenue/capex ratio in this agreement was 1/3, lower than the more common 1/2, but the size of this deal likely required Akamai to offer a discounted rate, though still value-accretive.

Business Strategy & Outlook Martin Szumski, Equity Analyst, 25 Sep 2026

Akamai has shifted from primarily a content delivery network to a security and cloud computing business anchored by its 4,400 points of presence. Through two deals with Anthropic totaling $13.3 billion, the firm has solidly committed itself to enabling artificial intelligence inference. A continued focus on security offerings seems prudent given ongoing headwinds in content delivery and the rise in AI-related security breaches. We still believe that content delivery will remain profitable, but we increasingly view the delivery network as largely an accessory to the security business.

The firm's efforts in API security and zero-trust offerings continue to attract customers at a solid pace, while denial-of-service, app security, and managed services are more mature and commoditized. We expect investment in security products to pay off as more enterprises adopt multicloud architectures with Akamai's offerings, positioning the firm as distinct from traditional neoclouds or compute providers and more distributed than hyperscalers.

Akamai's newest segment, cloud and computing services, helps retain existing CDN and security customers by emulating a portion of the product offerings of the firm's closest competitors, the hyperscalers. Additionally, by leveraging its distributed network of servers and points of presence, Akamai can offer compute at the very edge of networks, closest to customers. We think this will be attractive as artificial intelligence inference workloads increase.

While we think investing incremental capital to expand computing service capacity is a valid way to capitalize on Akamai's distributed architecture for AI applications, we think attempting to become a neocloud through massive purchases of GPUs specifically for large language model providers offers little competitive differentiation even when margin-accretive. AI customers generally seek the lowest possible cost for compute, and Akamai is underfunded relative to competitors such as CoreWeave, IREN, hyperscalers, and Blackstone.

Bulls Say Martin Szumski, Equity Analyst, 25 Sep 2026

- Wireless network enhancements and Internet of Things deployments will increase data traffic, adding demand to house content and services as close to customers as possible.
- Data generated by media and cloud customers will continue to make Akamai's security offerings more robust versus competitors that don't have access to these types of flows.

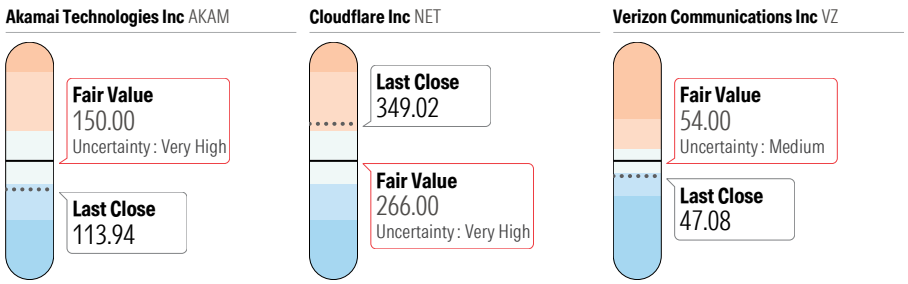
© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

Competitors



	Akamai Technologies Inc AKAM	Cloudflare Inc NET	Verizon Communications Inc VZ
Economic Moat	None	Wide	Narrow
Currency	USD	USD	USD
Fair Value	150.00 25 Sep 2026 21:34, UTC	266.00 25 Sep 2026 21:25, UTC	54.00 25 Sep 2026 21:15, UTC
1-Star Price	262.50	465.50	72.90
5-Star Price	75.00	133.00	37.80
Assessment	Undervalued 25 Sep 2026	Overvalued 25 Sep 2026	Undervalued 25 Sep 2026
Morningstar Rating	★★★★26 Sep 2026 02:12, UTC	★★25 Sep 2026 05:00, UTC	★★★★25 Sep 2026 05:00, UTC
Analyst	Martin Szumski, Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst	Michael Hodel, Director
Capital Allocation	Standard	Exemplary	Standard
Price/Fair Value	0.76	1.31	0.87
Price/Sales	3.92	48.88	1.43
Price/Book	3.45	76.68	1.89
Price/Earning	41.28	—	12.26
Dividend Yield	0.00%	0.00%	5.94%
Market Cap	16.38 Bil	124.28 Bil	195.61 Bil
52-Week Range	70.82—165.45	158.83—367.43	38.39—51.68
Investment Style	Mid Value	Large Growth	Large Value

- Akamai's existing CDN can be adapted to support edge computing and AI inference, which frontier model providers are increasingly demanding.

Bears Say Martin Szumski, Equity Analyst, 25 Sep 2026

- Media customers of CDNs will continue to insource the transmission of their content, making a content segment turnaround more difficult.
- Hyperscalers, which compete with Akamai, are increasingly offering additional security functions with their cloud services, making Akamai less differentiated.
- Akamai's neocloud shift dedicates a majority of capital to a commoditized business, which will only get more competitive as compute supply increases.

Economic Moat Martin Szumski, Equity Analyst, 25 Sep 2026

While we believe that Akamai's security business exhibits network effects and switching costs, in part

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

derived from the content delivery segment, we also believe management's focus on turning the cloud and compute business into an asset-heavy, "neocloud" distributed GPU platform is inherently risky and offers little in the way of competitive advantages. While it helps to break the business into three segments, as Akamai does, these categories are largely interconnected and represent alternative ways to monetize existing infrastructure. With such heavy investment in a no-moat, highly commoditized compute business, we believe the security business is not sufficient to offset the risk of value destruction. Thus, we assign Akamai a no-moat Morningstar Economic Moat Rating.

We see Akamai's content delivery network working in concert with its security solutions offerings, producing a network effect that has kept CDN traffic volume rising amid pricing pressure. A CDN is a distributed network of servers that acts as a highway, allowing customers to reduce latency by keeping content closer to consumers. This infrastructure has inherent network effects. With 20%-30% of global internet traffic passing through Akamai's network, the firm can use data generated by the content it carries and the websites it hosts to improve web performance and to offer security products. This data often includes multiple petabytes of telemetry per day, fueling the firm's machine learning models for web application and API protection, bot mitigation, and distributed denial-of-service, or DDoS, detection, creating an advantage that is difficult for smaller peers to replicate.

These security services often attract customers that transmit increasing amounts of data through the Akamai infrastructure. As more data flows through Akamai's network, the security offerings improve. The security improvements then attract more traffic, which, in turn, improves security offerings. Although the CDN provides users that fuel the network effect, the benefit accrues to the cloud-based security business. Security now accounts for 53% of revenue, up from 12% a decade ago.

Despite fueling this network effect, the CDN market has suffered from commoditization and persistent price deflation. While increasing traffic volume has helped slow the decline in CDN revenue, intense competition from newer, developer-friendly networks like Cloudflare and Fastly, combined with major media companies like Netflix building their own in-house networks, has steadily eroded Akamai's pricing power. Additionally, Amazon.com Web Services, Microsoft Azure, and Google Cloud natively bundle CDN, security, and compute functions into their broader cloud ecosystems. This bundling power makes it easier for enterprises to bypass stand-alone providers like Akamai. A network effect will likely persist in some form for Akamai, but security offerings will likely need to expand margins to offset the ongoing downward pressure on content delivery.

Aside from benefiting from network effects in the CDN business, the security business also imposes switching costs. Security solutions are among the most mission-critical business functions, with customers seeking to reduce risk. Security products like Guardicore and Zero Trust Network Access require deep integration of Akamai's platform into a customer's core security policies and IT architecture, making it incredibly complex and risky to rip out.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

We have previously viewed Akamai's compute and cloud infrastructure segment as no-moat but not a major drag on firmwide profitability. However, in May 2026, Akamai announced a $1.8 billion seven-year deal to provide compute to Anthropic. To support this deal, Akamai will invest $800 million in compute capacity, likely Nvidia GPUs, in 2026. Instead of making steady, incremental compute investments that could serve all Akamai customers, Akamai is investing substantial capital in GPUs that will be used exclusively by one customer. This marks the start of a strategic shift toward offering compute as a service.

In that vein, in September 2026, Akamai announced an additional seven-year deal, worth $11.6 billion with an option for an additional $9 billion. While this agreement will require $5.5 billion in capex, the overall operating margin structure is more accretive than we expected, though not enough to materially improve the firm's returns on invested capital or challenge Akamai's no-moat.

Compute demand has outstripped supply, allowing current entrants to enjoy elevated pricing and attractive headline unit economics. However, this gap is a function of a supply/response lag, not of a maintainable market structure. As supply catches up to demand, per-unit compute pricing should compress materially, and the providers most exposed will be the marginal, subscale operators without differentiated offerings or locked-in customer bases.

While Akamai's contract with Anthropic is set, we think it will be difficult to prevent customers from switching compute providers in the future. Compute and inference workloads are largely commoditized at the infrastructure layer, leaving little to differentiate on in the core offering. Customers can—and increasingly do—design workloads to be portable across providers, often multi-homing to preserve negotiating leverage. Unlike the hyperscalers, which embed customers through proprietary data services, managed databases, identity systems, and sprawling ecosystems, Akamai is entering as a pure capacity provider, with only modest opportunities to cross-sell into security. While Akamai's distributed points of presence will be attractive for customers that need inference at the network's edge, we think the major customers are still looking for heavy localized compute.

Fair Value and Profit Drivers Martin Szumski, Equity Analyst, 25 Sep 2026

Our $150 per share fair value estimate implies a 24 P/E ratio based on our 2026 EPS estimate. After signing another deal with Anthropic worth $11.6 billion in September 2026, we assume Akamai will deliver high-teens to low-double-digit annual revenue growth in 2027, 2028, and 2029. This will likely be followed by mid- to high-single-digit growth and modestly expand margins as the firm continues to offer competitive security products and uses its distributed network to offer cloud and computing services. Weighing on our valuation, we assume heightened capital intensity as the firm invests in scaling its computing infrastructure, which could reduce near-term free cash flow conversion.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

In content delivery, we expect traffic increases from trends such as the Internet of Things, autonomous vehicles, and edge computing to begin offsetting long-standing declines in transmission pricing, resulting in roughly flat revenue over our forecast. Qualitatively, we still believe content delivery plays a key role in enhancing Akamai's security products and offers value beyond revenue.

Security will remain the backbone of Akamai's offering and revenue generation, with higher growth from API security and Guardicore segmentation solutions, building on more mature denial-of-service protection and zero-trust application services. We forecast average security revenue growth of 10% annually through 2035, slightly below that of the major security players, but improved cross-selling across the compute and security segments could narrow the gap. While successful cross-selling represents upside to our fair value estimate, we exclude it from our base case because compute buyers often opt for single-purpose infrastructure rather than integrated security bundles.

Compute and cloud offerings should continue to grow as demand for AI inference leverages Akamai's distributed networking capabilities. We still think the GPU-as-a-service market is highly competitive and commoditized, but we believe the appeal of Akamai's network should make the compute and cloud segments margin-accretive. We expect compute revenue to grow at an average rate of 36% annually, highlighted by 93% annual growth across 2027-29, with the potential for further growth if Akamai enters into additional deals with large language model providers.

In total, we believe consolidated revenue will grow 12% on average, with adjusted operating margin expanding 10% over our 10-year forecast, from 17% to 27%. This margin expansion will be driven by a shift in the revenue mix toward higher-margin security and by compute workloads becoming margin-positive. Free cash flow conversion will initially lag operating income due to elevated capital expenditures, but we expect the gap to narrow as compute investments mature.

We expect Akamai to raise its capital spending to support a buildout of its compute segment, averaging $2.56+ billion per year over the next decade, or 2.7 times 2025 levels. We believe such spending levels will likely serve as a baseline, with the potential for significantly higher capital expenditures in some years if Akamai pursues large compute deals with other frontier model providers.

Risk and Uncertainty Martin Szumski, Equity Analyst, 25 Sep 2026

Our Morningstar Uncertainty Rating for Akamai is Very High. The firm faces some structural headwinds, primarily in its CDN business, which it continues to manage. Still, our biggest concern and source of uncertainty is management's pursuit of the neocloud market, where we see Akamai as heavily dependent on the success of the artificial intelligence buildout.

We believe Akamai's portfolio of delivery and security services is competitively differentiated in some respects, with network-effect benefits between the two segments. However, Akamai competes against

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

some of the world's largest and most well-funded companies across all its businesses. If hyperscalers build robust, cross-cloud security governance layers, enterprises can centralize security spending with a single cloud provider, even when workloads span multiple clouds. In delivery, increasing insourcing of content delivery and decreasing data transmission rates continue to erode margins.

We think the biggest uncertainty facing Akamai is the company's strategy in the compute segment. As Akamai invests in compute, we think the distributed nature of its existing network will appeal to current and prospective customers. However, edge computing is likely to be a competitive market, with well-funded hyperscalers, neoclouds, and private equity players. Management has committed to purchasing compute capacity to service Anthropic, but we see Anthropic's goals differing from Akamai's core value proposition. While Anthropic would likely prefer that compute resources be close to its customers, we believe that is a secondary consideration given its massive compute needs.

Offering compute to customers can succeed if the firm can command a premium, but we do not think buying compute in bulk exclusively for a single customer benefits the existing network even if it is margin-accretive. If Akamai continues to pursue localized bulk compute, we see little opportunity for such assets to generate competitive differentiation.

Capital Allocation Martin Szumski, Equity Analyst, 25 Sep 2026

We assign Akamai a Standard Capital Allocation Rating. This rating reflects our assessments of a sound balance sheet, fair investment efficacy, and mixed shareholder distribution policies.

We believe Akamai has done an admirable job of transforming the business from a pure-play CDN to a viable security competitor through both organic and inorganic means. We agree that compute offerings distributed across its network could create a differentiated offering, but management's aggressive shift toward a neocloud-style business model represents a fundamental change in capital allocation strategy, adding execution risk and uncertainty.

Akamai's acquisition record has been good, largely purchasing businesses to expand its product offerings into new but adjacent markets. Akamai's acquisitions of Prolexic Technologies and Linode enabled the firm to gain a foothold in the security and compute segments, respectively.

Prolexic, acquired in 2014 for $370 million, enhanced Akamai's distributed denial-of-service protection offering, adding a security layer to the existing content delivery business. We view this acquisition as laying the foundation for Akamai's existing security business, much of which is DDoS protection.

To diversify beyond security and content delivery, Akamai acquired Linode in 2022. This gave Akamai an infrastructure-as-a-service footprint to layer on top of its edge network. However, the $900 million deal price appears expensive relative to Linode's $100 million revenue run rate, and integration into the Akamai Connected Cloud has been slower than hoped. We believe this acquisition still offers benefits, including cost-effective cloud computing solutions that can be deployed at the edge of networks, so we

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

view the Linode acquisition as strategically sound, though potentially an overpay.

We believe Akamai is closer to a competent acquirer than an exceptional one. Management has addressed strategic needs, and we believe the strategy has merit given the firm's positioning, but an incremental rather than transformational approach may not work in the next core compute market that management is chasing, GPUs as a service.

We see merit in management's strategy of reinvesting cash flow in the business, particularly as opportunities in cloud computing and security continue to arise. Given the increasing capital intensity of the compute segment, we think management is unlikely to institute a dividend in the immediate future, until there is greater certainty about the required level of capital expenditures.

We believe the timing of share repurchases has been mixed. While the five-year average repurchase price of $101 per share is below the current stock price, it reflects an inability to fully capitalize on major cyclical bottoms. We believe Akamai would be better served by a more opportunistic framework, scaling up buybacks when the equity trades significantly below its historical valuation range, rather than a programmatic cadence.

Analyst Notes Archive

Akamai Earnings: Cloud Computing Deals Continue to Arrive, Building a Strong Bookings Backlog

Martin Szumski,Equity Analyst,7 Aug 2026

Akamai reported good results with 39% cloud computing growth offsetting declines in delivery revenue. Management guidance for the third quarter was a little light, but was overshadowed by the announcement of a four-year, $600 million cloud infrastructure service deal to power robotics development. Why it matters: With Akamai's security business offsetting the traditional delivery service business, which is suffering from decreased pricing and volume, the increased pace and size of cloud computing deals are primed to reaccelerate revenue growth into the low double digits for the first time since 2020. Security revenue, up 9% on a normalized basis, continues to be the stabilizing force offsetting losses in delivery revenue. We expect increasing internet traffic and potential use of artificial intelligence in cybercrime, in the vein of OpenAI's GPT-Sol5.6 breach of Hugging Face, to accelerate demand for Akamai's security products. The firm continues to repurpose and retrofit its 4,400 points of presence from primarily content delivery to cloud and AI services at the edge of networks. While the capital necessary to support new cloud deals continues to grow Akamai's budget, we believe it will be well worth the investment. The bottom line: We raise our fair value estimate to $135 from $125 after explicitly accounting for the new deal and management's "low-teens" 2027 revenue guidance. We expected deals like this in the coming years, but not individual deals of this magnitude so quickly. While data centers continue to be the target of hyperscaler spending, Akamai's distributed network continues to attract enterprise customers who value physical proximity to end users and appreciate the firm's

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

security services. Between the lines: In the second quarter, Akamai acquired LayerX, a secure enterprise browser and AI usage control platform, for $205 million. This gives the firm another potential cross-selling opportunity for cloud computing, one with direct AI use cases.

Akamai: Its Distributed Network Has Appeal, but Potential for Large Neocloud Deals Adds Uncertainty Martin Szumski,Equity Analyst,27 May 2026

We are transferring coverage of Akamai, a distributed network operator offering content delivery, security, and computing services to enterprises. Akamai's network underpins 15%-30% of global web traffic, and it uses the data it generates to improve its security services. The bottom line: We raise our fair value estimate to $125 from $122 per share. We believe a shift in the compute segment toward a neocloud business model should be cash flow positive but adds risk, prompting us to raise our Morningstar Uncertainty Rating to High and lower our moat rating from narrow to none. We think management has done an excellent job of pushing Akamai into new and related markets. We are less confident that the large investment required to service the recently announced Anthropic contract will generate higher returns than incremental investment for existing customers. Akamai is shifting away from an asset-light software model to pursue artificial intelligence-driven growth. While frontier model providers benefit from compute at the edge of Akamai's network, we believe raw GPU scale, which Akamai lacks, is more important for model providers currently. Big picture: Despite increased uncertainty in the compute segment, we believe Akamai's core businesses continue to offer competitive delivery and security solutions that are closer to end customers than those of hyperscalers or security-focused competitors. In delivery, the price per gigabyte that Akamai receives has decreased faster than data volume has increased, but increasing multicloud adoption and Internet of Things deployments should slow revenue declines. Growth in security solutions, such as API security, will drive high-single-digit growth. Computing offerings are a natural extension of Akamai's existing delivery network. We believe compute is better used when offered to all customers, increasing retention for existing security and delivery customers, rather than being centralized and dedicated to a single customer.

Akamai Earnings: $1.8 Billion AI Deal Reframes Growth Outlook, but Capex Burden Jumps Mark Giarelli,Analyst,8 May 2026

Akamai reported strong first-quarter results, with revenue up 6%, as the security business grew 11% and cloud infrastructure grew 40%, offset by a 7% decline in the content delivery network. A $1.8 billion commitment from a leading frontier model provider showcases Akamai's CIS potential.Why it matters: The quarter reinforces Akamai's transition from a sleepy content delivery network to a higher-growth security and distributed artificial intelligence infrastructure business. The deal it announced is the clearest evidence yet that its distributed cloud can win large AI workloads. The market shrugged off the large step-up in the capital expenditure burden (40%-42% of 2026 revenue). In our view, the market is likely to remain in a supply-constrained compute environment for years. Accordingly, CIS is the central

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

upside driver. The new deal shifts the compute thesis from long-term optionality to visible, contracted demand, and we see a path to double-digit revenue growth in 2027. Security remains the stabilizing growth engine. Revenue once again grew 11%. AI-driven attack complexity reinforces demand for Akamai's distributed protection platform.The bottom line: We intend to raise our $122 fair value estimate by about 10% and maintain our narrow moat rating. The cloud infrastructure momentum dramatically improves Akamai's long-term revenue growth profile, but it is partially offset by higher capex and execution risk. The key question is no longer whether Akamai has relevance in AI infrastructure, but whether these large, dedicated-capacity CIS deals generate attractive returns on capital after the upfront buildout.Between the lines: Near-term profitability and free cash flow will be pressured. First-quarter non-GAAP operating margin fell 4 percentage points to 26%, and management expects margins to remain near this level through 2026 as Akamai invests ahead of revenue. Still, we view AI demand as structural, not cyclical, and see the long-term setup as compelling.

Akamai Earnings: Respectable Earnings Come With Higher Capital Spending Mark Giarelli,Analyst,20 Feb 2026

Akamai reported solid fourth-quarter results, topping management's top-line guidance with 5% revenue growth for the year, but it also issued aggressive capital expenditure guidance, which is now expected to increase from 19.5% of revenue in 2025 to 24.5% (at the midpoint) in 2026. Why it matters: We appreciate Akami's shift toward higher-growth, higher-margin Security and Compute businesses, but this comes with a large capital expenditure bill. We believe investing is a risk worth taking given our high expectations for edge computing in an increasingly autonomous and latency-sensitive world. We expect latency-sensitive compute demand to outstrip supply over the next five years—making the near-term margin-versus-long-term-growth debate one that favors the latter. The lower-margin content delivery network, which has historically weighed on growth, is seeing more rational pricing, now that competitor Edgio has ceased operations. We don't expect CDN sales to grow, but given that delivery still accounts for 30% of the firm's revenue and underpins the other businesses, the stabilization is important. The bottom line: We are lowering our fair-value estimate for narrow-moat Akamai to $122 from $130, primarily driven by a higher capital spending forecast, but our core thesis of edge compute demand outstripping supply and its eventual positive impact on operating margins remains intact. Despite the approximately 20% year-to-date rally in the stock's value, we continue to find the shares attractively priced. Akami's forward enterprise value/sales multiple of 4.7 is not comparable to Cloudflare's 24, given Cloudflare's growth expectations, but we still see approximately 20% upside. Akami's network effect, where more delivery improves the intelligence layer that powers security and edge, creates a protective moat around future cash flows.

Akamai Earnings: Strong Security and Compute Growth Is Starting to Catch Mr. Market's Attention Mark Giarelli,Analyst,7 Nov 2025

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

Akamai reported strong third-quarter results, as continued momentum in the security and compute businesses, up on a constant-currency basis by 9% and 7%, respectively, propelled margin expansion and led management to raise its 2025 revenue and margin forecasts. Why it matters: Akami has improved its business mix over the past decade by focusing on security and compute, which are higher-margin and better positioned for secular trends like edge computing and cybersecurity demand than the legacy content delivery business. As content delivery has shrunk from over 80% of Akamai's business in 2017 to 30% currently, GAAP operating margins have expanded by over 300 basis points, from 12.6% in 2017 to 15.7% this quarter. We forecast continued evolution in the revenue mix to expand margins further. The Linode acquisition has continued to bear fruit for Akamai's cloud infrastructure services line, which grew 39% on a constant-currency basis. It continues to capitalize on strong cloud computing demand and now constitutes 45% of the compute business. The bottom line: We are modestly raising our fair value estimate for narrow-moat Akamai from $126 to $130, chiefly driven by a more constructive view on near-term compute demand and second-order impacts on operating margins. We continue to view shares as significantly undervalued. After spending $800 million on repurchasing 10 million shares of common stock during the first half of the year, we were disappointed to see the company did not engage in further buybacks during the third quarter, despite shares still trading at a material discount to our fair value estimate. We believe the positive price action after earnings is indicative of the market converging toward our view that Akamai's improved business mix warrants a more premium valuation, as it is positioned to capture secular demand in edge compute and cybersecurity.

Akamai Earnings: Normalizing Content Delivery Declines Drives Impressive Top-Line Result Samuel Siampaus,Equity Analyst,8 Aug 2025

Akamai posted solid results in second quarter, as normalizing delivery revenue and steady security and computing growth drove a 6.5% improvement in revenue year over year. Profitability was also a highlight, leading management to raise full-year guidance for revenue, profits, and earnings per share. Why it matters: Declines in content delivery revenue have been a nagging constraint on the impressive growth of security and compute. However, content delivery revenue has now increased sequentially for the last two quarters, the first growth in years. The delivery market appears to be improving. Security and cloud revenue grew at 11% and 13%, respectively, thanks to its well-rounded and innovative portfolio of services. Akamai is investing—with both capital and operational costs—to expand its computing infrastructure, so we were very encouraged by the 80- and 90-basis-point improvement in cash gross margin and adjusted operating income, respectively, from last year. The bottom line: Though this quarter was solid, we reduce our fair value estimate to $126 from $135 after reconsidering the level of our Stage 2 growth estimate. We continue to think shares offer significant upside for long-term investors willing to look past a drag from near-term investments. We forecast revenue accelerating throughout our forecast, as content delivery declines moderate, security maintains a 10% average

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

growth rate, and computing revenue begins to scale due to Akamai's current investments. We forecast annual revenue growth of 10% in 2029 compared with 4.5% in 2024. Big picture: Akamai is a far different company than it was years ago, and we expect further transition in the future. Delivery is 30% of firmwide revenue, compared with 60% in 2020, and we forecast this to decline to below 20% by 2029 as security and cloud continue to gain share. However, we still think delivery is the heart of Akamai, awarding it numerous cross-selling opportunities for security and compute.

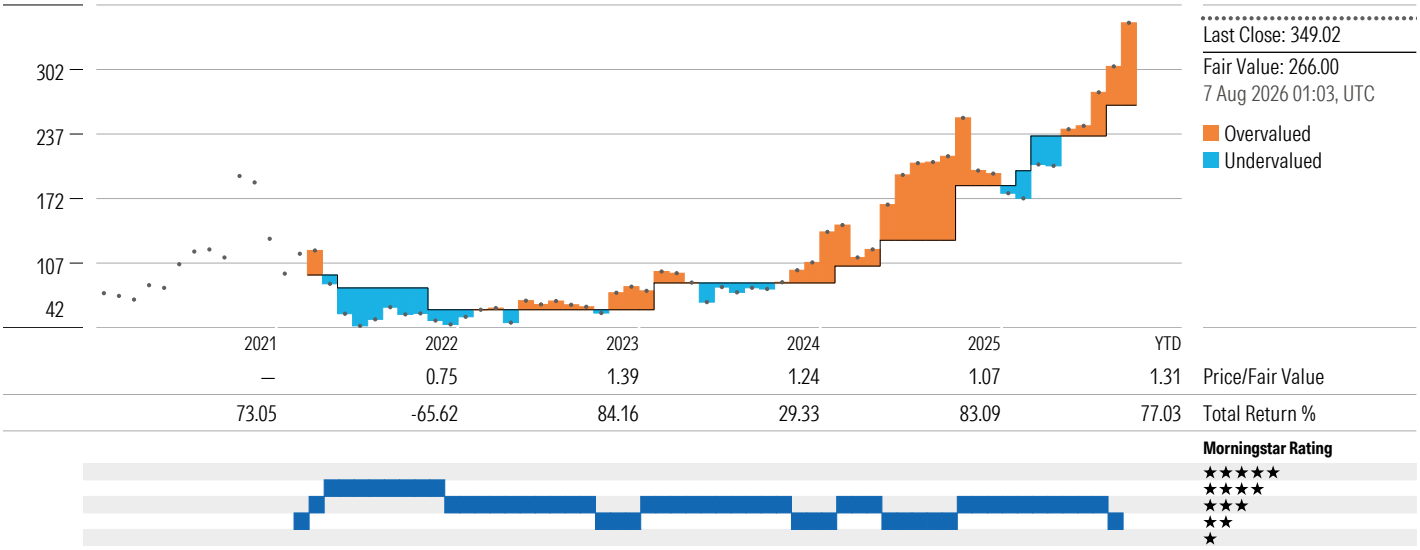
© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

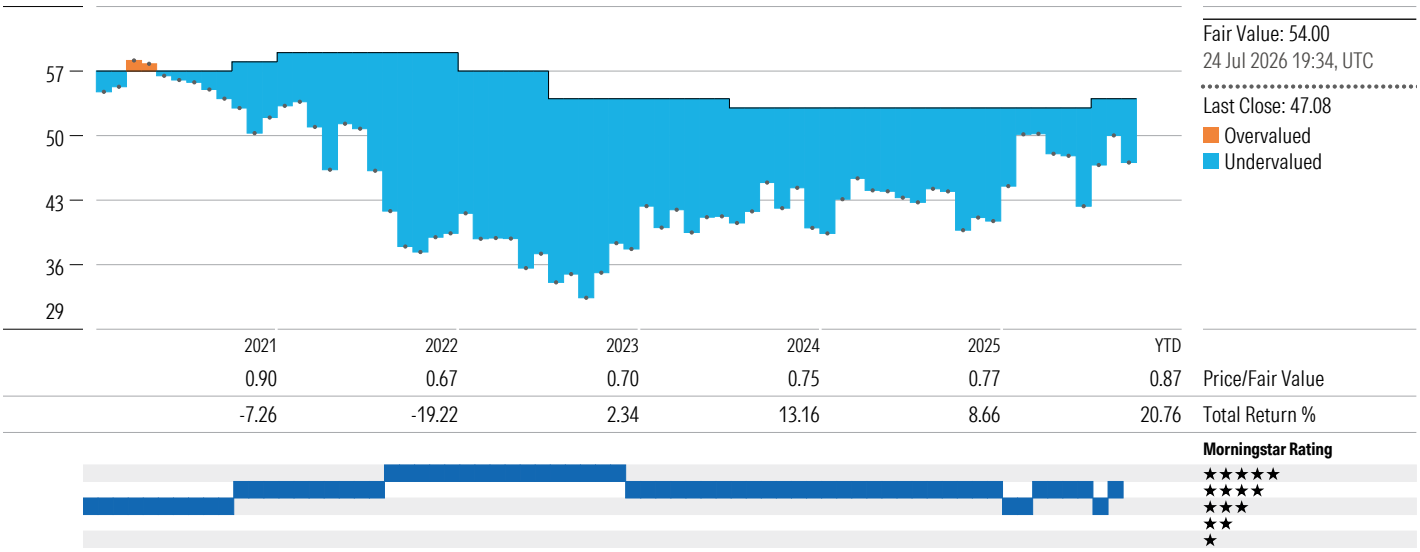
Competitors Price vs. Fair Value

Cloudflare Inc NET



Total Return % as of 25 Sep 2026. Last Close as of 25 Sep 2026. Fair Value as of 7 Aug 2026 01:03, UTC.

Verizon Communications Inc VZ



Total Return % as of 25 Sep 2026. Last Close as of 25 Sep 2026. Fair Value as of 24 Jul 2026 19:34, UTC.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

Morningstar Valuation Model Summary

Financials as of 25 Sep 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Bil)	3,812	3,991	4,208	4,454	5,246	6,512	8,025	8,700
Operating Income (USD Bil)	761	721	736	550	716	1,007	1,386	1,650
EBITDA (USD Bil)	1,196	1,162	1,271	1,189	1,460	1,916	2,482	2,831
Adjusted EBITDA (USD Bil)	1,608	1,682	1,802	1,725	2,181	2,789	3,531	3,942
Net Income (USD Bil)	546	505	452	370	515	645	888	1,129
Adjusted Net Income (USD Bil)	960	996	1,046	952	1,288	1,596	2,048	2,363
Free Cash Flow To The Firm (USD Bil)	177	140	316	-2,702	-2,291	-42	504	774
Weighted Average Diluted Shares Outstanding (Bil)	155	154	147	150	154	158	163	168
Earnings Per Share (Diluted) (USD)	3.51	3.27	3.07	2.46	3.35	4.07	5.43	6.72
Adjusted Earnings Per Share (Diluted) (USD)	6.18	6.45	7.12	6.34	8.36	10.08	12.53	14.07
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 25 Sep 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	14.2	20.0	18.1	17.5	12.4	13.6	15.5	17.3	19.0	12.9
EBITDA Margin %	—	31.4	29.1	30.2	26.7	27.8	29.4	30.9	32.6	—
Adjusted EBITDA Margin %	—	42.2	42.1	42.8	38.7	41.6	42.8	44.0	45.3	42.5
Net Margin %	12.6	14.3	12.7	10.7	8.3	9.8	9.9	11.1	13.0	10.4
Adjusted Net Margin %	25.0	25.2	24.9	24.9	21.4	24.6	24.5	25.5	27.2	24.6
Free Cash Flow To The Firm Margin %	5.2	4.6	3.5	7.5	-60.7	-43.7	-0.7	6.3	8.9	-18.0

Growth & Ratios as of 25 Sep 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	5.2	5.4	4.7	5.4	5.8	17.8	24.1	23.2	8.4	15.6
Operating Income Growth %	-0.8	0.8	-5.2	2.1	-25.2	30.0	40.7	37.6	19.1	17.5
EBITDA Growth %	0.5	-5.0	-2.8	9.4	-6.5	22.8	31.2	29.5	14.1	18.2
Adjusted EBITDA Growth %	6.7	8.5	4.6	7.1	-4.2	26.4	27.9	26.6	11.6	17.0
Earnings Per Share Growth %	-2.4	6.2	-6.9	-6.0	-19.9	35.9	21.7	33.4	23.7	16.9
Adjusted Earnings Per Share Growth %	-2.4	22.4	4.4	10.3	-10.9	31.9	20.6	24.3	12.3	16.9

Valuation as of 25 Sep 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	19.2	14.8	12.3	18.0	13.6	11.3	9.1	8.1
Price/Sales	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Price/Book	4.0	3.0	2.6	2.9	2.5	2.1	1.8	1.6
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EV/EBIT	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 25 Sep 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	5.5	4.9	3.9	2.1	2.9	3.5	4.4	5.3
ROE %	11.9	10.4	9.1	6.2	7.4	7.7	8.8	9.4
ROIC %	10.1	9.1	8.6	6.0	5.8	6.9	8.6	8.9

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	20.3	24.4	31.1	29.0	24.2	19.7	18.0	13.9
Assets/Equity	2.2	2.1	2.3	3.0	2.6	2.2	2.0	1.8
Net Debt/EBITDA	0.0	0.0	0.0	5.1	5.0	3.5	2.3	1.6
Total Debt/EBITDA	0.0	0.0	0.0	5.4	3.7	2.5	2.0	1.5
EBITDA/ Net Interest Expense	-58.5	-23.0	-45.0	-118.1	-33.6	87.7	59.6	949.9

Forecast Revisions as of 25 Sep 2026	2026		2027		2028	
Prior data as of 14 Sep 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	150.00	134.79	—	—	—	—
Revenue (USD Bil)	4,454	4,454	5,246	5,054	6,512	5,678
Operating Income (USD Bil)	550	537	716	703	1,007	879
EBITDA (USD Bil)	1,725	1,723	2,181	2,084	2,789	2,395
Net Income (USD Bil)	952	965	1,288	1,329	1,596	1,378
Earnings Per Share (Diluted) (USD)	2.46	2.49	3.35	4.01	4.07	3.74
Adjusted Earnings Per Share (Diluted) (USD)	6.34	6.46	8.36	8.68	10.08	8.79
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 25 Sep 2026

Cost of Equity %	8.5
Pre-Tax Cost of Debt %	5.4
Weighted Average Cost of Capital %	7.6
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	14.0
Stage II Investment Rate %	40.0
Perpetuity Year	11

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 25 Sep 2026

	USD Mil
Present Value Stage I	1,250,456
Present Value Stage II	895,740
Present Value Stage III	22,252,953
Total Firm Value	**24,399,149**
Cash and Equivalents	930,231
Debt	4,105,355
Other Adjustments	256,302
Equity Value	**21,480,327**
Projected Diluted Shares	152
Fair Value per Share (USD)	**150.00**

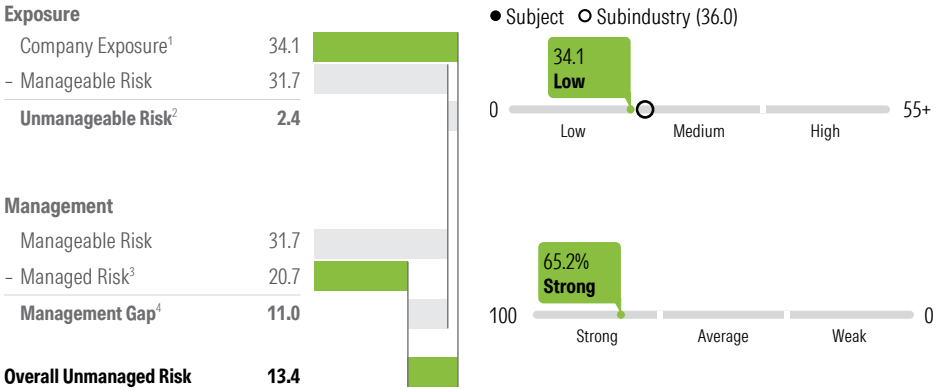
© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Akamai Technologies Inc AKAM ★★★★ 26 Sep 2026 02:12, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
113.94 USD 25 Sep 2026	150.00 USD 25 Sep 2026 21:34, UTC	0.76	16.38 USD Bil 25 Sep 2026	None	Mid Value	Very High	Standard

ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Sep 25, 2026. Highest Controversy Level is as of Sep 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 65.2% 4. Management Gap assesses risks that are not managed, but are considered manageable

Peer Analysis 25 Sep 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Akamai Technologies Inc	34.1 | Low	0	55+	65.2 | Strong	100	0	13.4 | Low	0	40+
Verizon Communications Inc	48.2 | Medium	0	55+	53.4 | Strong	100	0	25.1 | Medium	0	40+
Fortinet Inc	32.1 | Low	0	55+	57.3 | Strong	100	0	14.9 | Low	0	40+
Fastly Inc	38.5 | Medium	0	55+	50.0 | Average	100	0	20.6 | Medium	0	40+
Cloudflare Inc	41.1 | Medium	0	55+	47.9 | Average	100	0	22.9 | Medium	0	40+

Morningstar Sustainalytics ESG ratings are issued in accordance with the EU ESG Ratings Regulation (2024/3005). For regulatory disclosures related to Morningstar Sustainalytics ESG ratings, please see Morningstar Sustainalytics Ratings Transparency.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Appendix

Historical Morningstar Rating

Akamai Technologies Inc AKAM 25 Sep 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	★★★★	★★★★	★★★	★★★	★★	★★★★	★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★

Cloudflare Inc NET 25 Sep 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Verizon Communications Inc VZ 25 Sep 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

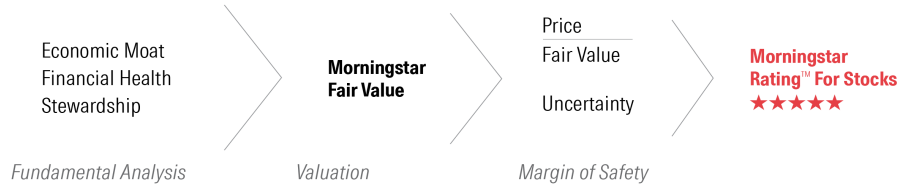
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

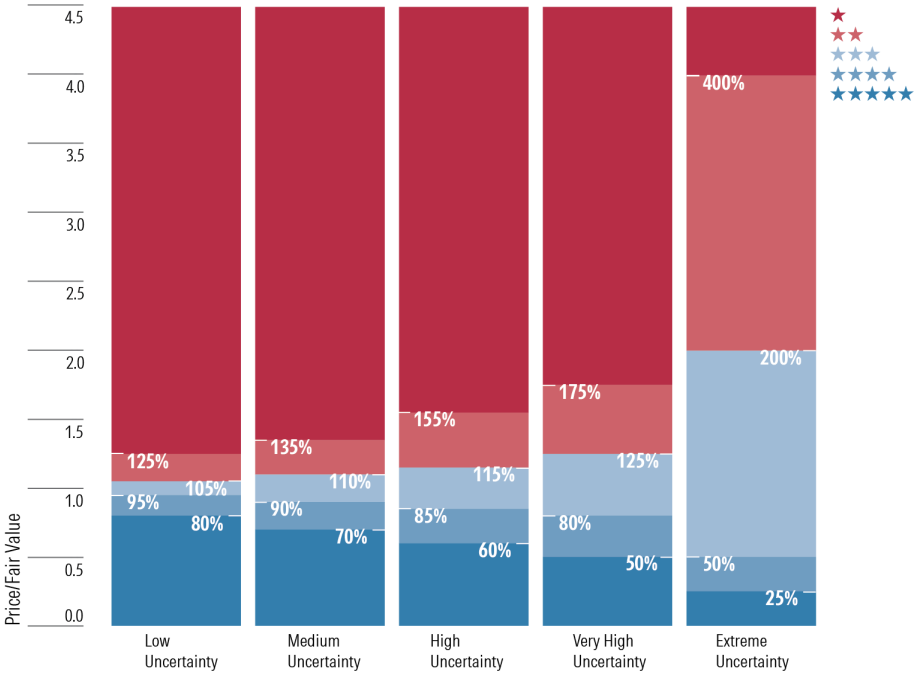
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

General Disclosure

Unless otherwise provided in a separate agreement, recipients accessing this report may only use it in the country in which the Morningstar distributor is based. Unless stated otherwise, the original distributor of the report is Morningstar Research Services LLC, a U.S.A. domiciled financial institution.

This Report is for informational purposes, should not be the sole piece of information used in making an investment decision, and has no regard to the specific investment objectives, financial situation or particular needs of any specific recipient. This publication is intended to provide information to assist investors in making their own investment decisions, not to provide investment advice to any specific investor. Therefore, investments discussed herein may not be suitable for all investors; investors must exercise their own independent judgment as to the suitability of such investments and recommendations in the light of their own investment objectives, experience, taxation status and financial position. Morningstar encourages Report recipients to read all relevant issue documents (e.g., prospectus) pertaining to the security concerned, including without limitation, information relevant to its investment objectives, risks, and costs before making an investment decision and when deemed necessary, to seek the advice of a financial, legal, tax, and/or accounting professional. The information, data, analyses and opinions presented herein are not warranted to be accurate, correct, complete or timely. Unless otherwise provided in a separate agreement, neither Morningstar, Inc. or the Equity Research Group represents that the report contents meet all of the presentation and/or disclosure standards applicable in the jurisdiction the recipient is located.

Except as otherwise required by law or provided for in a separate agreement, the analyst, Morningstar, Inc. and the Equity Research Group and their officers, directors and employees shall not be responsible or liable for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions within the report.

The Report and its contents are not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject Morningstar, Inc. or its affiliates to any registration or licensing requirements in such jurisdiction.

Where this report is made available in a language other than English and in the case of inconsistencies between the English and translated versions of the report, the English version will control and supersede any ambiguities associated with any part or section of a report that has been issued in a foreign language. Neither the analyst, Morningstar, Inc., or the Equity Research Group guarantees the accuracy of the translations.

This report may be distributed in certain localities, countries and/or jurisdictions ("Territories") by independent third parties or independent intermediaries and/or distributors ("Distributors"). Such Distributors are not acting as agents or representatives of the analyst, Morningstar, Inc. or the Equity Research Group. In Territories where a Distributor distributes our report, the Distributor is solely responsible for complying with all applicable regulations, laws, rules, circulars, codes and guidelines established

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

by local and/or regional regulatory bodies, including laws in connection with the distribution third-party research reports.

Conflicts of Interest

- No interests are held by the analyst with respect to the security subject of this investment research report.
- Morningstar, Inc. may hold a long position in the security subject of this investment research report that exceeds 0.5% of the total issued share capital of the security. To determine if such is the case, please click http://msi.morningstar.com and http://mdi.morningstar.com
- Analysts' compensation is derived from Morningstar, Inc.'s overall earnings and consists of salary, bonus and in some cases restricted stock.
- Neither Morningstar, Inc. or the Equity Research Group receives commissions for providing research nor do they charge companies to be rated.
- Morningstar's overall earnings are generated in part by the activities of the Investment Management and Research groups, and other affiliates, who provide services to product issuers.
- Morningstar employees may not pursue business and employment opportunities outside Morningstar within the investment industry (including but not limited to, working as a financial planner, an investment professional or investment professional representative, a broker-dealer or broker-dealer agent, a financial writer, reporter, or analyst) without the approval of Morningstar's Legal and if applicable, Compliance teams.
- Neither Morningstar, Inc. or the Equity Research Group is a market maker or a liquidity provider of the security noted within this report.
- Neither Morningstar, Inc. or the Equity Research Group has been a lead manager or co-lead manager over the previous 12-months of any publicly disclosed offer of financial instruments of the issuer.
- Morningstar, Inc.'s investment management group does have arrangements with financial institutions to provide portfolio management/investment advice some of which an analyst may issue investment research reports on. However, analysts do not have authority over Morningstar's investment management group's business arrangements nor allow employees from the investment management group to participate or influence the analysis or opinion prepared by them.
- Morningstar, Inc. is a publicly traded company (Ticker Symbol: MORN) and thus a financial institution the security of which is the subject of this report may own more than 5% of Morningstar, Inc.'s total outstanding shares. Please access Morningstar, Inc.'s proxy statement, "Security Ownership of Certain Beneficial Owners and Management" section https://shareholders.morningstar.com/investor-relations/financials/sec-filings/default.aspx
- Morningstar, Inc. may provide the product issuer or its related entities with services or products for a fee and on an arms' length basis including software products and licenses, research and consulting services, data services, licenses to republish our ratings and research in their promotional material, event sponsorship and website advertising.

Further information on Morningstar, Inc.'s conflict of interest policies is available from http://global.morningstar.com/equitydisclosures. Also, please note analysts are subject to the CFA Institute's Code of Ethics and Standards of Professional Conduct.

Risk Warning Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security's investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. For investments in foreign markets there are further risks, generally based on exchange rate changes or changes in political and social conditions.

For more information about Morningstar's methodologies, please visit global.morningstar.com/equitydisclosures

For a list of securities which the Equity Research Group currently covers and provides written analysis on please contact your local Morningstar office. In addition, for historical analysis of securities covered, including their fair value estimate, please contact your local office.

For recipients in Australia: This Report has been issued and distributed in Australia by Morningstar Australasia Pty Ltd (ABN: 95 090 665 544; ASFL: 240892). Morningstar Australasia Pty Ltd is the provider of the general advice ('the Service') and takes responsibility for the production of this report. The Service is provided through the research of investment products.

To the extent the Report contains general advice it has been prepared without reference to an investor's objectives, financial situation or needs. Investors should consider the advice in light of these matters and, if applicable, the relevant Product Disclosure Statement before making any decision to invest. Refer to our Financial Services Guide (FSG) for more information at http://www.morningstar.com.au/fsg.pdf

For recipients in New Zealand: This report has been issued and distributed by Morningstar Australasia Pty Ltd and/or Morningstar Research Ltd (together 'Morningstar'). This report has been prepared and is intended for distribution in New Zealand to wholesale clients only and has not been prepared for use by New Zealand retail clients (as those terms are defined in the Financial Markets Conduct Act 2013).The information, views and any recommendations in this material are provided for general information purposes only, and solely relate to the companies and investment opportunities specified within. Our reports do not take into account any particular investor's financial situation, objectives or appetite for risk, meaning no representation may be implied as to the suitability of any financial product mentioned for any particular investor. We recommend seeking financial advice before making any investment decision.

For recipients in Hong Kong: The Report is distributed by Morningstar Investment Management Asia Limited, which is regulated by the Hong Kong Securities and Futures Commission to provide services to professional investors only. Neither Morningstar Investment Management Asia Limited, nor its representatives, are acting or will be deemed to be acting as an investment professional to any recipients of this information unless expressly agreed to by Morningstar Investment Management Asia Limited.

For recipients in India: This investment research is issued by Morningstar Investment Adviser India Private Limited. Morningstar Investment Adviser India Private Limited is registered with SEBI as a Portfolio Manager (registration number INP000006156) and as a Research Entity (registration number INH000008686). Morningstar Investment Adviser India Private Limited has not been the subject of any disciplinary action by SEBI or any other legal/regulatory body. Morningstar Investment Adviser India Private Limited is a wholly owned subsidiary of Morningstar Investment Management LLC. In India, Morningstar Investment Adviser India Private Limited has one associate, Morningstar India Private Limited, which provides data-related services, financial data analysis, and software development. The research analyst has not served as an officer, director, or employee of the fund company within the last 12 months, nor have they or their associates engaged in market-making activity for the fund company.The ESG-related information, methodologies, tool, ratings, data and opinions contained or reflected herein are not directed to or intended for use or distribution to India-based clients or users and their distribution to Indian resident individuals or entities is not permitted, and Morningstar/Sustainalytics accepts no responsibility or liability whatsoever for the actions of third parties in this respect.

*The Conflicts of Interest disclosure above also applies to relatives and associates of Manager Research Analysts in

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

India # The Conflicts of Interest disclosure above also applies to associates of Manager Research Analysts in India. The terms and conditions on which Morningstar Investment Adviser India Private Limited offers Investment Research to clients, varies from client to client, and are detailed in the respective client agreement.

For recipients in Japan: The Report is distributed by Ibbotson Associates Japan, Inc., which is regulated by Financial Services Agency, for informational purposes only. Neither Ibbotson Associates Japan, Inc., nor its representatives, are acting or will be deemed to be acting as an investment professional to any recipients of this information.

For recipients in Singapore: The Report is intended for Institutional Investor audiences and is distributed by Morningstar Investment Adviser Singapore Pte. Limited, which is licensed by the Monetary Authority of Singapore to provide financial advisory services in Singapore. Morningstar Investment Adviser Singapore Pte. Limited is the entity responsible for the creation and distribution of the research services described in this Report.

This content is provided for informational purposes only and may be shared or redistributed by Institutional Investors to their clients or other permitted persons, subject to obtaining the appropriate licence from Morningstar. Redistribution of this content is subject to any applicable conditions or limitations, including those agreed commercially or contractually with Morningstar. The person who shares or redistributes this content shall be solely responsible for compliance with all relevant legal and regulatory obligations in the jurisdictions in which the material is made available.

Investors should consult a financial adviser regarding the suitability of any investment product, taking into account their specific investment objectives, financial situation or particular needs, before making any investment decision.

Morningstar, Inc., and its affiliates rely on certain exemptions (Financial Advisers Regulations, Section 27(1)(e), Section 32B and 32C) to provide its investment research to recipients in Singapore.

For recipients in Korea: The report is distributed by Morningstar Korea Ltd., which has filed to the Financial Services Committee, for informational purposes only. Neither Morningstar Korea Ltd. nor its representatives are acting or will be deemed to be acting as an investment advisor to any recipients of this information.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®